

REAL ESTATE & REITS

We understood real estate as an asset class earlier. It is illiquid, needs a higher amount of investments and it is a cumbersome process to buy or sell it. On the flip side, it is a physical asset and hence psychologically comfortable for many to own. People have a high affinity with it and understand the asset well. It can also consume black money which is an attraction for many. Lastly, real estate gives recurring rental income.

Real estate that is required for consumption i.e. when someone intends to open a shop or wants to buy a house. Buying these assets should be treated as financial goals and then the asset should form a part of support assets and not an investible portfolio. The investment value of the asset is a side benefit.

From an investment perspective, debt and equity combinations perform better. However, people prefer real estate as it is psychologically more calming. In such a scenario, a person can substitute up to 50% of their equity component with a real estate component. This means if the equity component should be Rs. 50 lac, they can invest Rs. 25 lac into real estate. However, we have seen plans with the entire equity component being replaced by real estate. It is just about how comfortable people are with different assets. This is not the optimal utilization of capital, but people still do it and it works well for them if the original asset base is sufficient.

